JE-2026-000115 · 2026-06-05 · fiscal 2026

Dispose Packing Line Conveyors And Sealers

Account	Debit	Credit
7020 Gain or Loss on Asset Disposal	92,500.00	
1186 Accumulated Depreciation - Manufacturing Equipment	117,500.00	
No cash line: the asset was retired with no proceeds		
1185 Manufacturing Equipment		210,000.00

Loss = cost − accumulated depreciation − proceeds

210,000.00 cost	−	**117,500.00** accumulated depreciation	−	**0.00** proceeds	=	**92,500.00** loss

JE-2025-000028 · 2025-02-12 · fiscal 2025

Dispose Forklift A And Charging Rack

Account	Debit	Credit
7020 Gain or Loss on Asset Disposal	42,000.00	
1160 Accumulated Depreciation - Warehouse Equipment	98,000.00	
1010 Cash and Cash Equivalents	28,000.00	
1120 Warehouse Equipment		168,000.00

Loss = cost − accumulated depreciation − proceeds

168,000.00 cost	−	**98,000.00** accumulated depreciation	−	**28,000.00** proceeds	=	**42,000.00** loss

Both entries debit the loss account and the accumulated depreciation of the asset and credit its cost. Only the entry of 2025 also debits cash: the proceeds, 28,000.00, bring the loss down from 70,000.00, the cost less the accumulated depreciation, to 42,000.00. The entry of 2026 has no cash line, so its loss is the whole 92,500.00.